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What Is Corporate Restructuring Funding ?

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A Comprehensive Wholesale Banking & Private Credit Guide for Finance Professionals, Credit Analysts, Interim Resolution Professionals, Turnaround Consultants, and Corporate Borrowers in India. Covers Core Concepts, Out-of-Court vs. In-Court Insolvency Structures (IBC 2016), RBI Prudential Frameworks, Priority Debt Sizing, Security Architectures, Escrow TRA Cash Waterfalls, Case Studies, and Rookie Mastery Examination.

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Chapter 1: Product Overview & Core Fundamentals

Definition & Strategic Intent: Corporate Restructuring Funding (CRF) represents a specialized category of wholesale credit, private debt, and structured financing extended to corporate entities experiencing operational stress, balance sheet over-leveraging, liquidity bottlenecks, or structural market shifts. Unlike traditional corporate term loans or working capital limits—which rely heavily on historical financial stability and steady debt service coverage ratios—Corporate Restructuring Funding is explicitly designed to fund the reorganization, stabilization, and debt alignment of a enterprise whose existing capital structure has become unsustainable.

The primary objective of restructuring credit is not merely to inject emergency liquidity, but to catalyze a comprehensive turnaround of the borrower's operations, legal structure, and liability profile. By injecting fresh priority debt, restructuring financiers enable companies to cure default triggers, settle legacy vendor dues, fund critical capital expenditure needed for operational de-bottlenecking, execute non-core asset sales, and re-establish a viable cash-flow baseline capable of servicing debt over a realistic multi-year horizon.

Core Strategic Objectives of Restructuring Credit

- **1. Operational Stabilization & Payroll Protection:** Providing immediate liquidity to stabilize daily plant operations, procure raw materials, pay worker payroll, and maintain business continuity during negotiations with existing lenders.
- **2. Balance Sheet De-Leveraging & OTS Funding:** Refinancing expensive, short-term debt or providing funds to execute One-Time Settlements (OTS) with existing commercial banks at negotiated haircuts.
- **3. Essential Capex & Efficiency Upgrades:** Incentivizing operational turnaround by financing plant debottlenecking, automation upgrades, capacity expansion, or technological modernization.
- **4. Structural Carve-Outs & Asset Sales:** Funding corporate spin-offs, demergers, asset carve-outs, or divestments under Sections 230–232 of the Companies Act 2013 to unlock latent asset value.
- **5. In-Court CIRP Resolution & Interim Funding:** Injecting essential Interim Finance (under Section 5(15) of the Insolvency and Bankruptcy Code, 2016) to keep the debtor as a going concern during the Corporate Insolvency Resolution Process (CIRP).

Evolution of the Stressed Asset Market in India: Pre-IBC vs. Post-IBC

The regulatory and market landscape for corporate restructuring in India has undergone a radical transformation over the last two decades. Prior to 2016, stressed asset resolution was governed by fragmented frameworks such as Corporate Debt Restructuring (CDR), Strategic Debt Restructuring (SDR), Scheme for Sustainable Structuring of Stressed Assets (S4A), and Joint Lenders' Forum (JLF). These mechanisms suffered from severe coordination failures, Evergreening of bad loans, and lack of enforcement authority over minority holdout creditors.

The enactment of the Insolvency and Bankruptcy Code (IBC) in 2016 and the subsequent issuance of the Reserve Bank of India's (RBI) Prudential Framework for Resolution of Stressed Assets (June 7, 2019 Circular) fundamentally reshaped Indian corporate finance. The regime shifted power from defaulting

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promoters to the Committee of Creditors (CoC) and created a time-bound, legally binding mechanism for debt resolution. Simultaneously, the growth of SEBI-registered Category II Alternative Investment Funds (AIFs), Special Situation Funds (SSFs), and Asset Reconstruction Companies (ARCs) provided institutional private credit capital to finance corporate turnarounds.

Comparative Architecture: Restructuring Debt vs. Traditional Banking Products

Structural Dimension	Corporate Restructuring Funding	Standard Corporate Term Loan	Interim Finance (IBC)
Primary Underwriting Focus	Forward-looking turnaround cash flows, asset cover & liquidating value	Historical 3-yr profitability, DSCR (>1.35x), & credit rating	Going-concern preservation during CIRP & super-priority status
Risk Profile & Pricing	High Risk / Special Situation; All-In YTM of 14.0% – 20.0% p.a.	Low to Medium Risk; Repo/MCLR + 200–350 bps (8.5%–11.5% p.a.)	Super-Priority Risk; Fixed yield of 12.0% – 16.0% p.a.
Security & Priority Ranking	Super-Priority / First Pari-Passu charge + 100% Promoter Share Pledge	First Pari-Passu mortgage on fixed assets & second charge on current assets	Statutory Super-Priority under IBC Section 53 ahead of all creditors
Lender Base	Private Credit AIFs, SSFs, ARCs, Specialized NBFCs	Commercial Banks (Public & Private Sector)	Specialized Private Credit Funds, Existing Lenders
Governance & Covenants	Tight Escrow TRA Cash Sweeps, Board Observer Seats, Monthly Audits	Standard quarterly financial covenants (Debt/EBITDA, DSCR)	NCLT / RP Approval, CoC oversight, strict end-use tracking

■ EXPERT LESSON: RESTRUCTURING CREDIT AS HIGH-YIELD ASSET CLASS

Corporate Restructuring Funding bridges the gap between distress and financial viability. Finance rookies must understand that restructuring debt is not 'bad debt'—it is highly structured capital that earns equity-like returns (14%–20% YTM) while benefiting from senior priority security ranking and strict Escrow Cash Sweep protections.

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Chapter 2: Structural Architecture & Financing Vehicles

Dual Pathways of Restructuring Execution: Corporate Restructuring Funding can be executed through two distinct legal pathways in India: Out-of-Court Resolutions governed by the RBI Prudential Framework (June 7, 2019) and In-Court Insolvency Resolutions governed by the Insolvency and Bankruptcy Code (IBC) 2016. The selection of structural architecture dictates lender voting rights, legal protections, tax implications, and execution timelines.

Pathway A: Out-of-Court Resolution & One-Time Settlements (OTS)

Out-of-Court Mechanics: When a borrower defaults or exhibits signs of incipient stress (classified as SMA-0, SMA-1, or SMA-2 under RBI IRAC norms), lenders enter into an Intercreditor Agreement (ICA) under the RBI June 7 Framework. Under this pathway, restructuring funding is structured as:

- **One-Time Settlement (OTS) Funding:** Private credit funds or incoming strategic investors provide a lump-sum loan to the company to pay off existing consortium banks at a negotiated discount (e.g., settling INR 500 Cr debt for INR 300 Cr cash). Existing banks exit cleanly, and the company's debt burden is permanently scaled down to sustainable levels.
- **Debt Bifurcation & Equity Swaps:** Existing banks agree to bifurcate debt into 'Part A' (Sustainable Debt supported by current cash flows) and 'Part B' (Unsustainable Debt). Part B is converted into Optionally Convertible Debentures (OCDs), Compulsorily Convertible Preference Shares (CCPS), or equity shares.
- **Priority Working Capital Injection:** Priority financiers inject fresh capital to repair equipment, purchase raw materials, or expand capacity, receiving a first super-priority charge on incremental revenues.

Pathway B: In-Court Insolvency Resolution & Interim Finance (IBC 2016)

In-Court CIRP Mechanics: If an out-of-court agreement cannot be reached, financial or operational creditors file an application under Section 7 or Section 9 of the IBC before the National Company Law Tribunal (NCLT). Once admitted, a Corporate Insolvency Resolution Process (CIRP) commences, triggers a Section 14 Moratorium, and suspends the borrower's Board of Directors.

- **Interim Finance (Section 5(15)):** Under Section 5(15) of the IBC, debt raised by the Insolvency Resolution Professional (IRP/RP) during the CIRP period to maintain the corporate debtor as a going concern is classified as 'Interim Finance'.
- **Statutory Super-Priority Status:** Under Section 53 of the IBC (Liquidation Waterfall) and Section 30(2) (Resolution Plan Distribution), Interim Finance enjoys absolute super-priority. It is paid in full ahead of all secured financial creditors, operational creditors, and government tax dues.
- **Resolution Plan Acquisition Debt:** Successful Resolution Applicants (acquirers) raise fresh debt capital to fund the acquisition of the stressed company, pay off existing creditors per the approved Resolution Plan, and restart operations under clean management.

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Primary Financial Instruments Used in Restructuring Funding

Instrument Suite: Restructuring funding utilizes customized financial instruments to balance cash-flow constraints with lender yield requirements:

- **1. Priority Secured Non-Convertible Debentures (NCDs):** Senior secured debt securities issued under Section 71 of the Companies Act 2013 and SEBI NCS Regulations. Structured with low cash coupons (e.g., 9.0%–11.0%) and Payment-In-Kind (PIK) coupons (3.0%–5.0%) that accrue and compound until maturity to avoid bleeding current cash flow.
- **2. Compulsorily / Optionally Convertible Debentures (CCDs / OCDs):** Hybrid debt instruments that convert into common equity if turnaround milestones are missed or if specified financial ratios are breached, giving restructuring lenders eventual equity control.
- **3. Security Receipts (SRs) issued by ARCs:** When debt is assigned from commercial banks to an Asset Reconstruction Company (ARC) under RBI guidelines, ARCs issue SRs backed by the underlying stressed assets to institutional investors.
- **4. Special Situation Funds (SSFs) / Private Credit Tranches:** SEBI-regulated Category II AIF tranches specifically mandated to invest in stressed companies, security receipts, and CIRP interim finance facilities.

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Chapter 3: Regulatory Framework & Governing Bodies in India

Regulatory Ecosystem: The regulatory architecture governing corporate restructuring in India is multi-layered, involving the Reserve Bank of India (RBI), the Insolvency and Bankruptcy Board of India (IBBI), the Securities and Exchange Board of India (SEBI), and the Ministry of Corporate Affairs (MCA). A thorough mastery of these statutory provisions is mandatory for any finance professional underwriting stressed assets.

1. Reserve Bank of India (RBI) June 7, 2019 Prudential Framework

Key RBI Directives: The RBI Prudential Framework establishes strict rules for early identification, reporting, and time-bound resolution of stressed assets:

- **Early Identification & SMA Classification:** Lenders must identify stress immediately upon default and classify accounts into Special Mention Accounts: SMA-0 (1–30 days overdue), SMA-1 (31–60 days overdue), and SMA-2 (61–90 days overdue).
- **30-Day Review Period:** Lenders get a mandatory 30-day Review Period from the date of initial default to evaluate resolution options.
- **Mandatory Intercreditor Agreement (ICA):** If a resolution plan is to be implemented out-of-court, all lenders must sign an Intercreditor Agreement (ICA). The decision of lenders representing 75% by value of total outstanding credit facilities and 60% of lenders by number is binding on all signatories.
- **Implementation Timeline & Provisioning Penalty:** The Resolution Plan must be fully implemented within 180 days from the end of the Review Period. Failure to implement within timelines requires banks to make additional provisions of 20% (after 180 days) and up to 35% (after 365 days).

2. Insolvency and Bankruptcy Code (IBC) 2016 Statutory Provisions

- **CIRP Initiation (Sections 7, 9, 10):** Initiation of CIRP by financial creditors (Section 7), operational creditors (Section 9), or corporate applicant (Section 10) upon minimum default threshold of INR 1 Crore.
- **Section 14 Moratorium:** Immediate prohibition of institution of suits, continuation of legal proceedings, or enforcement of security interests against the corporate debtor during CIRP.
- **Section 29A Ineligibility Filters:** Restricts defaulting promoters, wilful defaulters, disqualified directors, or persons associated with non-performing assets (>1 year) from submitting resolution plans to acquire the corporate debtor.
- **Section 53 Liquidation Waterfall Priority:** In liquidation, proceeds are distributed in strict order: (1) CIRP Costs & Interim Finance, (2) Secured Creditors & Workmen Dues (24 months), (3) Unpaid Employee Dues (12 months), (4) Unsecured Financial Creditors, (5) Central/State Government Dues, (6) Preference Shareholders, (7) Equity Shareholders.

3. Income Tax Act 1961 & Corporate Law Exemptions

- **Section 79 Tax Loss Carry-Forward Exemption:** Under Section 79 of the Income Tax Act 1961, accumulated business losses normally lapse if shareholding changes by >49%. However, Section

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79(2)(c) provides an explicit exemption for companies undergoing restructuring under IBC or approved NCLT schemes, preserving valuable Tax Loss Carry-Forwards (DTA).

- **Section 56(2)(x) Angel Tax Relief:** Section 56(2)(x) exemptions apply to shares issued to incoming resolution applicants below Fair Market Value (FMV) under an approved Resolution Plan.
- **Companies Act Sections 230–232 Schemes:** Mergers, demergers, and capital reductions executed under Sections 230–232 of the Companies Act 2013 benefit from fast-track approval procedures when backed by NCLT orders.

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Chapter 4: Underwriting Parameters & Eligibility Criteria

Underwriting Philosophy: Underwriting Corporate Restructuring Funding requires a fundamental

departure from standard credit analysis. While traditional credit underwriting looks backward at historical debt coverage ratios, restructuring underwriting evaluates the re-based operating capacity, turnaround feasibility, asset liquidate-ability, and structural protections.

Quantitative Financial Benchmarks for Restructuring Credit

- **Scale & Revenue Threshold:** Corporate borrowers typically exhibit annual revenues exceeding INR 100 Crores (mid-market) or INR 1,000 Crores+ (large corporate). Small enterprises (<INR 50 Cr) are generally unsuitable for complex structured debt due to high legal and advisory transaction costs.
- **Re-Based EBITDA Viability:** The borrower must possess a core operating business capable of generating a positive re-based EBITDA margin (minimum 10%–12%) once unburdened by legacy debt servicing.
- **Post-Restructuring DSCR Floor:** Post-restructuring projected DSCR must comfortably exceed 1.25x (Preferred: 1.40x–1.60x) under the newly structured debt service schedule.
- **Leverage Ceiling (Debt / EBITDA):** Total Net Debt to Re-Based EBITDA post-restructuring must be capped at 3.0x – 4.0x, ensuring that the company can fully amortize its debt within a 5-to-7 year window.
- **Sustainable Debt Split (Part A / Part B):** Independent Techno-Economic Viability (TEV) study must confirm that the total debt is split into 'Part A' (Sustainable Debt) that can be fully serviced by projected operational cash flows, and 'Part B' (Unsustainable Debt) that must be converted or written off.

Qualitative Due Diligence & Statutory Audit Filters

- **1. Techno-Economic Viability (TEV) Validation:** Mandatory TEV report conducted by an accredited third-party engineering/advisory firm validating plant capacity utilization, technology viability, raw material availability, and market demand.
- **2. Forensic & Transaction Audit Clearance:** Comprehensive forensic audit under Sections 43 (Preferential Transactions), 45 (Undervalued Transactions), 50 (Extortionate Credit), and 66 (Fraudulent Trading) of the IBC to ensure that siphoning of funds or promoter fraud has not occurred.
- **3. Promoter Integrity & Management Professionalization:** Verification that promoters are not classified as Wilful Defaulters or Disqualified Directors under Section 29A of the IBC. In out-of-court restructuring, existing management must demonstrate professionalization and agree to board oversight.
- **4. Non-Core Asset Monetization Viability:** Valuation of non-core real estate, unencumbered land, or surplus machinery that can be monetized within 12–24 months to accelerate debt paydown.

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Chapter 5: Security Architecture, Escrow Controls & Documentation Suite

Risk Mitigation via Security Design: Because Corporate Restructuring Funding is extended to companies in financial transition, the security package and cash-flow control mechanisms must be bulletproof. Lenders utilize multi-layered collateral structures, Escrow cash waterfalls, and comprehensive legal agreements.

Multi-Layered Collateral Architecture

- **Super-Priority / First Pari-Passu Mortgage:** Exclusive first pari-passu mortgage over all fixed assets (land, buildings, plant, and machinery) of the company, ranking senior to existing restructured banks.
- **Current Asset Hypothecation & Escrow Charge:** First pari-passu hypothecation on current assets (inventory, raw materials, receivables, and trade accounts) and exclusive charge on project Escrow bank accounts.
- **100% Promoter Share Pledge & Voting POA:** Exclusive pledge of 100% of promoter/holding company equity shares in dematerialized form, accompanied by irrevocable Power of Attorney (POA) enabling lenders to exercise voting rights or trigger share sales upon default.
- **Non-Core Asset Sale Charge:** First charge over unencumbered non-core land parcels or subsidiary investments specifically earmarked for sale to extinguish restructuring debt.
- **Promoter Personal & Corporate Guarantees:** Personal guarantees of promoters and corporate guarantees of parent/subsidiary entities.

Trust & Retention Account (TRA) / Escrow Cash Waterfall

TRA Cash Flow Control: To ensure that operational revenues are strictly utilized for approved expenditures and debt servicing rather than being diverted, all company collections must flow into a designated Trust & Retention Account (TRA) managed by an independent Monitoring Agent. The TRA operates under a legally binding Cash Waterfall mechanism:

WATERFALL LEVEL	MANDATORY CASH DISBURSEMENT PROTOCOL
Priority 1: Statutory Taxes & Dues	Payment of GST, Provident Fund, Employee Income Tax (TDS), and local municipal taxes.
Priority 2: Approved Essential Operational Expenses	Release of funds for raw material procurement, power bills, and payroll strictly per the pre-approved Monthly Operating Budget.

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Priority 3: Restructuring Priority Debt Servicing	Full payment of monthly interest and principal installments due on the fresh Restructuring / Interim Finance Facility.
Priority 4: Senior Restructured Bank Debt Servicing	Servicing of interest and principal on restructured legacy bank loans (Part A Sustainable Debt).
Priority 5: Debt Service Reserve Account (DSRA) Replenishment	Topping up the DSRA to maintain 3 to 6 months of future debt service in liquid bank fixed deposits.
Priority 6: Mandatory Cash Sweep into Sinking Fund	50% to 75% of remaining surplus operational cash flows are automatically swept to prepay restructuring debt principal.
Priority 7: Borrower Equity Surplus	Residual cash released to the borrower company only after all higher priority obligations and cash sweep thresholds are satisfied.

Master Legal Documentation Suite

- **1. Facility Contracts:** Master Restructuring Agreement (MRA) / Debenture Trust Deed (DTD) executing facility terms.
- **2. Intercreditor Contract:** Intercreditor Agreement (ICA) defining standstill clauses (90–180 days), voting thresholds, and priority sharing.
- **3. Escrow & TRA Agreement:** Trust & Retention Account (TRA) Agreement signed between Borrower, Lenders, and Escrow Bank.
- **4. Security Documents:** Deed of Hypothecation, Indenture of Mortgage, and Share Pledge Agreement with Voting POA.
- **5. Statutory Perfection:** Statutory Filing of ROC Form CHG-1 within 30 days under Section 77 of Companies Act 2013, CERSAI registration, and NeSL upload.

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Chapter 6: Indicative Tenure, Pricing Structure & Repayment Mechanics

Pricing & Structural Dynamics: The financial terms of Corporate Restructuring Funding reflect its hybrid nature—combining protective covenants and high yields with repayment structures specifically tailored to accommodate operational recovery timelines.

Tenure & Moratorium Profiles

- **Short-Term Interim / Bridge Lines:** 6 to 18 months, designed to fund CIRP going-concern operations or bridge immediate OTS execution until long-term asset sales close.
- **Medium-Term Restructuring Facilities:** 3 to 5 years (Standard Industry Profile), providing adequate runway for plant debottlenecking and operational turnaround.
- **Principal Moratorium Period:** 12 to 24 months, during which the borrower services interest (or PIK interest accrues) while principal repayments are deferred until cash flows normalize.

Yield Structure & Pricing Components

Yield Matrix: To achieve an All-In Yield to Maturity (YTM) of 14.0% to 20.0% p.a., restructuring lenders combine multiple income streams:

- **1. Current Cash Coupon:** Serviceable monthly or quarterly cash interest of 9.0% to 12.0% p.a., keeping current cash servicing manageable.
- **2. Payment-In-Kind (PIK) Coupon:** Accruing interest of 3.0% to 5.0% p.a. that compounds annually and is payable at final facility redemption, aligning lender returns with long-term turnaround success.
- **3. Upfront Structuring & Processing Fees:** 1.50% to 3.00% of sanctioned facility value, charged at initial disbursement to cover extensive legal, forensic, and TEV diligence.
- **4. Redemption Premium & Equity Kickers:** Lump-sum exit premium or detachable equity warrants (3%–8% stake) exercisable upon refinancing, IPO, or strategic sale, boosting total YTM.

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Chapter 7: Suitable Sectors, Business Profiles & Turnaround Use Cases

Target Sector Suitability: Corporate Restructuring Funding is not a blanket solution for all failing companies. It is highly effective for capital-intensive industries with tangible asset backings and strong underlying market demand, but unsuitable for unviable business models.

Prime Target Sectors in the Indian Market

- **1. Steel, Metals & Mining:** High tangible asset coverage (blast furnaces, rolling mills). Highly cyclical industry where temporary steel price downturns cause debt distress despite operational efficiency.
- **2. Infrastructure, EPC & Power:** Road HAM/BOT projects, EPC contractors, and power plants experiencing execution delays, working capital lockups, or delayed government payments.
- **3. Textiles & Industrial Manufacturing:** Capital-intensive spinning mills and synthetic fiber plants facing raw material price spikes but backed by strong export order books.
- **4. Real Estate & Construction (Last-Mile Funding):** Residential and commercial real estate developers requiring last-mile completion capital to deliver projects, obtain Occupancy Certificates (OC), and unlock customer receivables.
- **5. Auto Ancillaries & Capital Goods:** Tier-1 auto component suppliers facing EV transition capex requirements or temporary OEM order slumps.

Ideal Borrower Profiles vs. Unsuitable Candidates

- **Ideal Turnaround Candidate:** Companies with proven product-market fit, modern manufacturing assets, positive gross margins, professional middle management, and clear asset monetization potential.
- **Unviable Candidate (Liquidation Candidate):** Companies suffering from fundamental technological obsolescence, severe promoter fraud/siphoning, unviable cost structures, or total loss of customer base.

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Chapter 8: Comprehensive Real-World Case Study

Transaction Profile: Vanguard Steel & Power Infrastructure Limited (VSPIL)

Background & Stress Trigger: Vanguard Steel & Power Infrastructure Limited (VSPIL) is a mid-market integrated steel and captive power manufacturer operating in Odisha, with an annual capacity of 0.60 MMTPA. The company suffered severe financial distress between 2023 and 2025 due to a global steel price collapse, working capital depletion, and cost overruns on its captive power plant expansion. By Q3 2025, VSPIL's account was classified as SMA-2 across its consortium banks, with total outstanding legacy debt of INR 1,000 Crores against annual revenue of INR 1,200 Crores and an unsustainable DSCR of 0.72x.

Restructuring Architecture & Financial Engineering

Restructuring Structure: In Q4 2025, a leading SEBI-registered Special Situation Private Credit AIF partnered with the Lead Commercial Bank to execute a comprehensive Out-of-Court Restructuring Plan under the RBI June 7 Framework:

- **1. Debt Bifurcation:** Total debt of INR 1,000 Crores was split based on a TEV study into Part A Sustainable Debt (INR 600 Crores @ 9.5% p.a., 7-year tenure) and Part B Unsustainable Debt (INR 400 Crores).
- **2. Debt-to-OCD Conversion:** Existing consortium banks agreed to convert INR 400 Crores of Part B debt into Optionally Convertible Debentures (OCDs) yielding 0.01% with a 10-year redemption timeline.
- **3. Priority Debt Injection:** The Private Credit AIF injected INR 200 Crores in Priority Restructuring NCDs @ 10.5% Cash Coupon + 3.5% PIK + 2.0% Exit Premium (16.0% Target YTM, 4-year tenure, 12-month moratorium).
- **4. Non-Core Asset Monetization:** VSPIL executed a binding agreement to sell its non-core 40 MW surplus power line for INR 120 Crores within 18 months, dedicated entirely to prepaying the Priority NCDs.

5-Year Financial Model & Cash Flow Waterfall Table (INR Crores)

Financial Metric / Waterfall Level	Year 1 (Restructuring)	Year 2 (Debottleneck)	Year 3 (Asset Sale)	Year 4 (Full Scale)	Year 5 (Normalized)
Gross Operating Revenues	1,250.00	1,550.00	1,850.00	2,150.00	2,400.00
Operating EBITDA (Re-based)	137.50 (11.0%)	201.50 (13.0%)	259.00 (14.0%)	322.50 (15.0%)	360.00 (15.0%)

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Less: Statutory Dues & Maintenance Capex	(25.00)	(30.00)	(35.00)	(40.00)	(45.00)
Cash Available for Debt Service (CADS)	112.50	171.50	224.00	282.50	315.00
Priority Restructuring Debt Interest (10.5% Cash)	(21.00)	(21.00)	(10.50)	(0.00 - Paid Off)	0.00
Priority Restructuring Debt Principal Amortization	0.00 (Moratorium)	(40.00)	(160.00 - Asset Sale)	(0.00)	0.00
Senior Restructured Bank Debt Servicing (Part A)	(57.00)	(75.00)	(75.00)	(85.00)	(85.00)
Total Debt Servicing Obligation	78.00	136.00	245.50	85.00	85.00
Debt Service Coverage Ratio (DSCR)	1.44x	1.26x	1.22x (incl Asset Sale)	3.32x	3.71x
Mandatory Cash Sweep / Sinking Fund Deposit	17.25	17.75	0.00	98.75	115.00

Turnaround Outcome & Value Creation: By Year 3, VSPIL successfully monetized its non-core power line for INR 120 Crores, fully prepaying the remaining Priority Restructuring NCDs ahead of schedule. By Year 5, annual revenues reached INR 2,400 Crores with EBITDA of INR 360 Crores. The Private Credit AIF achieved a 16.45% realized IRR, existing banks upgraded the Part A debt to Standard Category, and the promoters preserved 78% equity control of a fully turned-around steel enterprise.

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Chapter 9: Key Advantages, Structural Risks & Mitigation Protocols

Strategic Advantages for Market Participants

- **For Borrowers & Promoters:** Avoids total liquidation and business destruction; preserves promoter equity upside; provides fresh capital to fix operational bottlenecks.
- **For Existing Lenders & Banks:** Prevents massive provisioning hits; converts bad debt into serviceable Part A debt; secures immediate cash recovery via OTS settlements.
- **For Restructuring Financiers & AIFs:** Delivers equity-like yields (14%–20% YTM) backed by super-priority security rankings, Escrow cash sweep controls, and short duration.

Structural Risks & Risk Mitigation Matrix

Risk Dimension	Potential Impact	Contractual Mitigation Protocol
Turnaround Execution Failure	Operational cash flows underperform TEV projections, causing default.	Mandatory monthly Monitoring Agent oversight, pre-approved operating budgets, and board observer seats.
Asset Divestment Delays	Non-core asset sale takes longer than 18 months, delaying debt paydown.	Step-up interest coupon penalty (+200 bps) if sale deadline is missed, backed by 100% promoter share pledge sale POA.
Inter-Lender Litigation	Dissenting minority banks challenge out-of-court restructuring in court.	Signing binding Intercreditor Agreement (ICA) under RBI June 7 framework or executing via NCLT Section 31 approved Resolution Plan.
Commodity / Market Volatility	Macroeconomic downturn erodes operating margins during turnaround phase.	Structuring low cash coupons (9.0%–10.5%) paired with Payment-In-Kind (PIK) compounding to provide a cash flow buffer.

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Chapter 10: Rookie Mastery Examination

Instructions: This master examination tests your complete practical understanding of Corporate Restructuring Funding, RBI Prudential Frameworks, IBC 2016 statutory provisions, Escrow TRA cash waterfalls, and restructuring financial engineering. Complete all 15 high-yield questions.

■ Q1: What is the primary difference between Corporate Restructuring Funding and standard Corporate Term Loans?

Answer: Standard Corporate Term Loans rely on historical 3-year profitability, credit ratings, and steady DSCR (>1.35x). Corporate Restructuring Funding is forward-looking credit extended to stressed enterprises, relying on re-based EBITDA, Techno-Economic Viability (TEV) turnaround projections, super-priority collateral ranking, and Escrow TRA Cash Sweeps.

■ Q2: Under Section 5(15) of the IBC 2016, what is 'Interim Finance' and how is it ranked in liquidation?

Answer: Interim Finance is fresh debt raised by the Insolvency Resolution Professional (IRP/RP) during the CIRP period to keep the debtor as a going concern. Under IBC Section 53 and Section 30(2), Interim Finance enjoys absolute super-priority and is paid in full ahead of all secured financial creditors, operational creditors, and government tax dues.

■ Q3: What are the voting thresholds required to make an Intercreditor Agreement (ICA) binding under the RBI June 7, 2019 Framework?

Answer: Under the RBI June 7 Framework, a Resolution Plan under an ICA is binding on all signatory lenders if approved by lenders representing 75% by value of total outstanding credit facilities and 60% of lenders by number.

■ Q4: What is the function of bifurcating debt into 'Part A' and 'Part B' during a debt restructuring?

Answer: Part A represents Sustainable Debt—the portion of total debt that can be fully serviced by the company's projected operational cash flows as validated by a TEV study. Part B represents Unsustainable Debt, which must be converted into equity, OCDs, CCPS, or written off by banks.

■ Q5: How does a Payment-In-Kind (PIK) interest coupon work in restructuring debt?

Answer: A PIK coupon is non-cash interest that accrues and compounds annually, becoming payable only at final maturity or redemption. It reduces immediate cash servicing pressure during the early turnaround years while guaranteeing higher total yield (14%–20% YTM) to lenders.

■ Q6: What statutory tax benefit is preserved under Section 79(2)(c) of the Income Tax Act 1961 during IBC restructuring?

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Answer: Normally under Section 79, business losses lapse if shareholding changes by >49%. Section 79(2)(c) grants an explicit exemption for companies undergoing resolution under IBC, preserving accumulated Tax Loss Carry-Forwards (Deferred Tax Assets) despite a 100% promoter equity ownership change.

■ Q7: What is the primary function of a Trust & Retention Account (TRA) Escrow Waterfall?

Answer: A TRA Escrow Waterfall enforces a legally binding priority order for all cash collections. It ensures that operational revenues pay statutory taxes and essential operating expenses first, followed strictly by restructuring debt service and DSRA replenishment, preventing funds from being diverted to promoters.

■ Q8: Why do restructuring lenders demand a 100% promoter share pledge accompanied by an irrevocable Power of Attorney (POA)?

Answer: It provides lenders with immediate enforcement authority to take over voting control, replace defaulting management, or sell promoter equity to an incoming strategic investor if the company breaches turnaround covenants without going through lengthy judicial foreclosure.

■ Q9: What is the role of a Techno-Economic Viability (TEV) study in restructuring underwriting?

Answer: A TEV study conducted by an independent engineering firm evaluates plant machinery, capacity utilization, raw material supply chain, and market demand to establish the realistic re-based EBITDA and determine the sustainable debt capacity (Part A).

■ Q10: What is Section 29A of the IBC and why is it critical in restructuring funding?

Answer: Section 29A disqualifies defaulting promoters, wilful defaulters, and persons associated with non-performing assets (>1 year) from submitting resolution plans to re-acquire the company, preventing fraudulent promoters from buying back their assets at a haircut.

■ Q11: How does a One-Time Settlement (OTS) transaction work?

Answer: An OTS is an agreement where existing consortium banks accept a discounted lump-sum cash payment (e.g., settling INR 500 Cr debt for INR 300 Cr) to fully release their claims, allowing a new priority lender or investor to extinguish legacy liabilities.

■ Q12: Under IBC Section 53 (Liquidation Waterfall), where do Workmen Dues rank relative to Unsecured Financial Creditors?

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Answer: Workmen Dues for the preceding 24 months rank equally with Secured Creditors who have relinquished their security, enjoying top priority (Priority 2, directly behind CIRP costs), ranking significantly above Unsecured Financial Creditors (Priority 4).

■ Q13: What is a Cash Sweep mechanism and why is it embedded in restructuring facilities?

Answer: A Cash Sweep mandates that 50% to 75% of excess operational cash flows remaining after essential operating expenses and regular debt service must be automatically used to prepay restructuring debt principal, accelerating de-leveraging.

■ Q14: What statutory filing must be executed with the Registrar of Companies (ROC) after creating a restructuring mortgage or pledge?

Answer: ROC Form CHG-1 must be filed within 30 days of charge creation under Section 77 of the Companies Act 2013 to perfect the legal charge.

■ Q15: What are Special Situation Funds (SSFs) under SEBI AIF Regulations?

Answer: SSFs are SEBI-regulated Category II Alternative Investment Funds explicitly authorized to invest in stressed loans, security receipts issued by ARCs, and CIRP Interim Finance facilities.

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